

complaint

Miss F has complained via her representative, Mr J, about St Andrew's Insurance Plc's decline of her claim for subsidence.

background

Miss F notified St Andrew's that her floor had cracked and it forwarded the claim to its team that considers claims that relate to subsidence, heave and landslip. A St Andrew's personal claims consultant (PCC) then visited Miss F's home and, following his visit St Andrew's declined the claim.

St Andrew's said that the cracking in the floor was a result of heave caused by a sulphate attack but that no insured peril had occurred because 'heave of the site' itself had not taken place. Mr J argued that heave in general is covered by the insurance policy and that St Andrew's' opinion on the cause of the damage is not enough for it to avoid liability for the claim; it should have carried out site investigations.

However, St Andrew's also said that even if it were persuaded that the claim should fall for consideration under the cover offered for damage caused by heave (of the site), a relevant exclusion to that cover exists which removes its liability for the damage; no cover is given where damage just occurs to the floor of a building and its foundations are not affected. St Andrew's said there was no evidence of the foundations being affected here but Mr J argued that St Andrew's did not inspect the house properly and there is a minor crack to the external render on the front wall.

In July 2014 I assessed this complaint and felt it should be upheld. I issued a provisional decision and said that I thought St Andrew's should reconsider its position in relation to Miss F's floor. I have reproduced my findings from that decision below, in italics.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I will go onto to give my view on St Andrew's decline of the claim for heave in a moment but, in summary and with the exception of its reliance on the exclusion, I think it was fair and reasonable. However, I also think that St Andrew's, by virtue of the reason it has given to decline the claim for heave has shown that, on the face of it, Miss F may have a valid claim for escape of water.

escape of water

St Andrew's has argued that Miss F's floor has been damaged by a sulphate attack which has caused it to swell and crack. St Andrew's has explained that this type of attack is caused by exposure to water. It is possible that the water that has caused the attack has come from damp ground beneath the floor or liquid already present in the fill material. However, in my experience it is also possible, in fact often likely, that an escape of water can cause/causes sulphate attacks. It has not been determined if such an escape of water has occurred at Miss F's home but given the conclusion reached by St Andrew's I believe this is a strong possibility and certainly enough to pass the burden to St Andrew's to show

that either no escape has occurred or that an exclusion exists to limit or remove its liability for any loss or damage that has resulted.

For this reason I consider it to be fair and reasonable to order St Andrew's to assess Miss F's claim under the escape of water cover on the policy, if she wishes it to do so. In making this consideration St Andrew's will need to bear in mind that this service will not usually allow an insurer to restrict or avoid its liability for an escape of water claim where a policyholder could not reasonably have known that any damage was occurring. Furthermore, if an escape of water is found to have occurred and caused the sulphate attack, St Andrew's will not be able to merely dismiss liability for the damage on the basis that it was caused by the sulphate attack (not the escape of water), which is not an insured event on the policy. This is because, unless St Andrew's can show otherwise, 'but for' the escape of water, the damage to the floor would not have occurred.

no 'heave of the site' has occurred

Miss F's policy offers cover for damage caused by "subsidence, heave and landslip", this much is detailed on the policy schedule. However, the schedule is only part of the insurance contract and the details within the policy booklet must also be considered. Furthermore, in respect of certain terms/phrases used, industry guidance applies to help define them.

Industry guidance on cover for damage caused by these events reflects this service's position on them. The cover offered for loss or damage caused by these events is related to the event occurring in relation to the site on which the building stands. Furthermore, Miss F's policy booklet here states:

"What IS covered

*10. Subsidence and/or heave **of the site** [my emphasis] on which the building stands or landslip."*

Therefore, for Miss F's claim to be acceptable under cover for heave, the actual site the building rests on would need to be affected, not just the floor itself. Mr J has argued that St Andrew's has not done enough to show that this is not the case. However, unless it is shown that an insured event has, most likely, occurred St Andrew's does not have to show that it has not.

Subsidence/heave is a technical issue and as such this service will often expect an insurer to take on consideration of such a claim with little more than notification having been made to it by the policyholder of cracks. However, that does not mean I will always expect an insurer to undertake lengthy and potentially costly site investigations merely because cracking at a property has been reported to it.

Here St Andrew's has provided an expert opinion on the cause of the cracking and this opinion does not seem unreasonable to me. While only an opinion, this service accepts opinion's from experts as potentially compelling evidence. Having considered the details of the PCC's findings here, I am satisfied they are persuasive, especially in the light of no similar expert consideration being provided by Miss F.

I note that Mr J is a retired engineer and that he believes St Andrew's conclusion is wrong. However, no detailed, persuasive argument has been made by Mr J as to why the site of Miss F's home as a whole has suffered from heave, as opposed to just the floor. The fact

that St Andrew's position is founded on opinions only and that Miss F's neighbour has made a similar, successful claim to their insurer, does not persuade me that the site as a whole here has moved. Nor does the fact that other experts may have verbally confirmed disagreement with the opinions of St Andrew's.

exclusion to cover where there is no damage to the foundations

I note that St Andrew's has not accepted that heave of the site has occurred but it has explained that it would still have no liability for Miss F's loss even if it had accepted this because, following on from "What IS covered, 10." above, the policy states:

"What IS NOT covered....

Damage either to or resulting from solid floors moving unless the foundations of the outside wall of the home are damaged by the same cause and at the same time."

If, for a moment then, I consider that this claim is being considered under the cover for damage or loss caused by heave of the site; the burden for showing exclusions apply is different to that for showing an insured event has occurred. As St Andrew's is seeking to rely on an exclusion to cover, the burden for justifying such as fair and reasonable rests with it.

Mr J has argued that St Andrew's did not do site investigations and/or inspect the home properly (missing a crack in the external render); without doing this it cannot show that the foundations have not been affected. While it is clear that site investigations have not been undertaken, this alone will not necessarily mean that St Andrew's has not done enough to show that, in the event of it considering liability for damage caused by heave of the site, it could fairly and reasonably rely on this exclusion to defeat the same.

That being said, beyond stating that no movement to the foundations has occurred, St Andrew's has not explained why or how it has come to that conclusion. While this is clearly the opinion of its expert, that opinion still needs to be persuasive and show, at least on balance, that reliance on the exclusion is fair and reasonable. It may be that the crack mentioned by Mr J is not consistent with this type of foundation damage but St Andrew's has not even acknowledged that this crack exists, let alone considered its relevance in the context of this claim. Nor has it shown that no other damage, consistent with damage caused to the foundations by heave, is present at the property.

Therefore, if heave of the site were shown to have occurred then, in my view, St Andrew's could not reasonably rely on the exclusion for no damage having been caused to the foundations to defeat its liability for the claim. In consequence, it has, in my view, effectively waived its opportunity to rely on this exclusion to defeat any liability it may have for Miss F's claim (assuming 'heave of the site' could be shown to have occurred).

Mr J confirmed receipt of my provisional decision and said he would email a full reply. To date no further contact has been received.

St Andrew's said it had doubts that an escape of water had occurred and that such would be covered by the policy. However, it agreed to carry out further investigations as a way of moving this matter forwards.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

While I have noted St Andrew's concerns, my provisional finding was that, on the face of it, there was sufficient evidence to show that a claim for escape of water needed consideration and, as such, it should do this. If it can show that such has not occurred or that a term or condition of the policy exists to limit or remove its liability then that may mean it can fairly and reasonably decline the claim. At this stage though, I am not considering that because it has not yet happened. If St Andrew's does decline the claim and Miss F is dissatisfied with its actions for this or any other reason, then she will be able to make a further complaint.

The comments St Andrew's have made in response to my provisional decision do not make me think I should change my findings. Neither Miss F nor her representative, Mr J have made any substantive reply to my provisional decision. Consequently, I see no reason to step away from the decision I provisionally issued. As such, my provisional findings will remain those of this, my final decision.

my final decision

My final decision is that I uphold this complaint in part as I am not satisfied that St Andrew's Insurance Plc has fairly and reasonably assessed its position in relation to Miss F's claim for damage to her floor. Consequently, St Andrew's Insurance Plc will need to:

- Consider the damage present at Miss F's home under the cover available for escape of water. Consideration will have to be given in line with the terms and conditions of the policy and taking into account the comments I have made above.
- If it is shown, at some point, that heave **of the site** has occurred and it is more appropriate for the damage present to be considered under this section of cover, then St Andrew's will have to do this without reference to any attempt to seek reliance upon the exclusion for liability where no damage to foundations has occurred.

I do not make any other award.

Fiona Robinson
ombudsman